

Price Fixing

At its most basic level, **price fixing** is a conspiracy or agreement between business competitors to set their prices to buy or sell goods or services at a certain price point, and it's a violation of federal and state antitrust laws. The U.S. Department of Justice (DOJ) identifies other types of price fixing, including:

- Agreements to establish or adhere to uniform price discounts
- Agreements to eliminate discounts to all customers or certain types of customers
- Agreements to adopt a specific formula for the computation of selling prices
- Agreements on terms and conditions of sale, including uniform freight charges, quantity discounts, or other differentials that affect the actual price of the product
- Agreements not to advertise prices or to refuse to sell the product through any bidding process

Price/Term Fixing

The DOJ also notes another component to price fixing that's specific to real estate, which the National Association of REALTORS® sometimes deems price/term fixing. This is when two or more firms agree to offer exactly the same terms in their agency agreements.

So, in order to avoid price fixing antitrust violations or even the appearance of violations, brokerage firms should take care to establish their fees, commission splits, and agreement terms completely independent of any other firm's policies or practices.

Price Fixing by Default?

Of course, just because several brokerages have the same commission rates, for example, does not mean a price fixing violation is occurring. According to the DOJ:

The fact that all competitors charge the same price, or use the same terms of sale, is not, by itself, evidence of a price-fixing conspiracy because similar prices may in fact be the outcome of competition. However, where price increases are announced by all competitors at the same time, or prior to a uniform effective date, there is a substantial likelihood of collusion.

Further, the fact that all prices are not identical does not indicate the absence of a conspiracy. For example, one company may have traditionally sold at a price lower than the others and, when a general increase in price occurs, the company with the lower price may adopt the same percentage or absolute increase as the others (U.S. Department of Justice, Offices of the United States Attorneys, Antitrust Resource Manual).